

in this example. Turn 14 is too far away. Thus, to find peak 23, one should measure the duration using point 10, and not 14, to calculate the 7-month 8-to-10-day span to peak 23. In this example the measure is 7 months and 12 days.

He also says that he has used the low at 6 or even 4 in the tabulation to get the prediction to come out properly, and we've seen him use peak 27 instead of 23 in the equation. Because this idea is a way to determine when peak 23 will happen, it's worth considering. Imaging selling your holdings before price makes a dramatic plunge on the way down to turn 28.

Returning to [Figure 62.3](#), the index completes the climb to peak 23 and drops to 26, missing turns 24 and 25 along the way. The index continues lower to 28, completing a substantial decline from the peak at 23.

1990 Example

[Figure 62.4](#) shows one example of a three peaks and domed house that formed at the start of the 1990s. Peaks 3, 5, and 7 are not at the same price level, but that is similar to the chart we just looked at. Indeed, if you think of turns A–3–5 as the three peaks with the separating decline down to valley 6, a small pattern unfolds. The domed house would be peak 7. Price goes down to 10, which on the model ([Figure 62.1](#)) is the same as point B, where the Dow bottoms.